



Volatility farming for tokenized stocks

Wall Street manufactures volatility on a published schedule, for free.
Ponspods charges a toll on it.

Whitepaper — version 0.1
Built on Robinhood Chain

1. Summary

Ponspods is a volatility farming protocol for tokenized real-world assets. A Pod wraps a tokenized stock into a synthetic token, charges a fee on every entry, exit and trade, and permanently burns part of the supply with those fees. Liquidity providers earn the fee flow. Holders earn a claim that grows against itself.

The mechanism is not new. Peapods Finance demonstrated that liquidity can be paid out of real fee flow instead of token emissions. What is new is the fuel. Tokenized equities are the only assets on-chain whose volatility is produced off-chain, by someone else, according to a calendar published months in advance.

2. The problem with crypto-native volatility farming

A volatility farm only earns when its underlying asset moves. Crypto volatility has three properties that make it poor collateral for this:

- **It is unscheduled.** A quiet market pays nothing, and nobody can say in advance when the quiet ends.
- **There is no reference price.** With no external market to arbitrage against, correcting a drifting pool is optional. An arbitrageur must carry inventory in a volatile asset to do it, so frequently they simply do not.
- **Volatility and drawdown are the same event.** The week a farm earns most is the week its collateral is worth least.

3. Pods

3.1 Wrap

A Pod accepts a tokenized asset and mints a wrapped representation of it. The underlying is held in reserve. Entering and leaving the Pod each carry a fee, set at deployment and immutable thereafter.

3.2 Farm

The wrapped token is paired against a stablecoin in a full-range pool. Every wrap, unwrap and trade pays the Pod. Liquidity providers receive that fee flow directly. No token is minted to pay them.

3.3 Grow

Part of every fee burns wrapped supply while the reserve stays intact. The ratio of reserve to supply — the collateral backing ratio — therefore rises, and cannot fall. Each Pod mints one-for-one on its first day; from then on, wrapping later mints fewer tokens, each redeemable for more.

4. Why real-world assets

4.1 Volatility on a calendar

Earnings dates, rate decisions, inflation prints, options expiries and index rebalances are all published in advance. Expected fee flow becomes forecastable rather than retrospective — a property no crypto-native farm can offer.

4.2 The session gap

A tokenized stock trades continuously. The exchange behind it does not. Between Friday close and Monday open the reference price is frozen while the token keeps moving, and the accumulated divergence must be corrected at the open — a correction that routes through the Pod and pays its fee. This repeats every week, and again around every session boundary and every halt.

Pods for assets that follow market hours may apply a wider fee while the underlying market is closed, so liquidity providers are compensated for holding a position against a stale reference price rather than being selected against.

4.3 Forced arbitrage

A listed equity has a published price on a deep market. When the Pod's pool drifts from it, the correction is riskless: the arbitrageur closes the position immediately on the reference venue and carries no inventory. Because their required margin is near zero, they act on far smaller deviations than they would for a crypto asset.

The consequence is the central economic point of this document. Arbitrage only fires once a deviation exceeds the round-trip fee. That threshold is the same for everyone; what differs is the risk premium an arbitrageur adds on top. For a volatile crypto asset that premium is large and corrections are rare. For a tokenized equity it is negligible, and corrections are constant. A Pod does not earn more per correction — it earns far more often.

4.4 Native yield

Many tokenized real-world assets already produce a return of their own, such as coupon or dividend equivalents. That return accrues to the Pod reserve, stacking on top of fee income rather than replacing it.

4.5 A single paired asset

Pairing every Pod against one stablecoin keeps lending unified instead of fragmenting it across dozens of shallow markets, so a newly deployed Pod is connected to existing depth from the start.

4.6 Baskets

A Pod may wrap a basket rather than a single asset, producing an index instrument whose fees reduce supply instead of being charged as a management fee. The share grows against the basket over time. Rebalancing, ordinarily a cost, becomes a fee event.

5. Leverage

A participant may deposit only the wrapped side of the pair. The protocol borrows the stablecoin side on their behalf, mints the full-range liquidity position, and locks it as its own collateral. Because the position contains equal value of the collateral asset and the debt asset, it is self-collateralising.

This is leveraged exposure to fee flow, not a directional bet. The liquidation threshold is 83.33% loan-to-value, the point at which the borrowed component can no longer cover its own repayment, which implies a leverage ceiling of six times. Because a full-range liquidity position is worth a multiple of the square root of price, collateral falls more slowly than the underlying — a cushion, not an exemption.

Session gaps cut both ways. A position that is healthy at the close cannot be managed until the market reopens, so leverage should be sized against the possible gap rather than against intraday movement.

6. Lending

Borrowers are liquidity providers who need the second side of a pair, not speculators taking a view. Suppliers of the paired stablecoin fund that leverage and receive the interest paid on it. Capital may be supplied to a curated vault spread across whitelisted Pods, or directly to a single isolated Pod market.

A new Pod bootstraps its own market in a single transaction: the first borrower flash-borrows the paired asset, supplies it, then borrows it back against their own position. The market opens at full utilisation, which serves as a public signal that borrowing demand exists before any outside capital has arrived.

7. PODS

The protocol token is **PODS**. Supply is fixed and there are no emissions; protocol revenue purchases PODS on the open market.

- **PODS** — the fee and governance asset.
- **viPODS** — PODS locked for voting. Holders whitelist Pods, direct how lending liquidity is allocated between them, and receive a share of protocol revenue in stablecoins.
- **pPODS** — PODS wrapped in its own Pod, so protocol revenue burns supply and the backing ratio rises for everyone who stays wrapped.

The loop closes on itself: market movement forces arbitrage, arbitrage pays the Pod, fees pay liquidity providers and burn supply, deeper Pods make arbitrage cheaper and therefore more frequent, and revenue buys PODS. At no point is a new token printed to sustain it.

8. Risks

- **Transfer restrictions.** Tokenized equities are issued instruments. If an issuer imposes whitelisting or transfer restrictions, a permissionless Pod cannot hold the asset. Free transferability is a precondition for everything described here.
- **Issuer risk.** A Pod cannot redeem what its issuer will not honour. The backing ratio offers no protection against a failed obligation.
- **Gap risk on leveraged positions.** A position that is solvent at the close may not be at the open, with no opportunity to intervene in between.
- **Liquidation outside market hours.** Liquidating a position while the reference market is shut requires liquidators willing to carry the asset until it reopens.
- **Regulatory exposure.** Leverage on tokenized securities touches existing rules. The protocol is non-custodial and neutral; interfaces are not.
- **Immutability.** Pod parameters cannot be altered after deployment. A poorly chosen fee schedule cannot be repaired.

9. Status

Ponspods is pre-launch. No Pod is deployed, no contract is live, and every protocol figure is therefore unpublished rather than estimated. Nothing in this document is an offer, a solicitation, or investment advice.

